← Expand café to downtown business district

Decision Health Report · Review #1 · Jul 29, 2026

# Open a second café location in the downtown business district this fall.

At Risk

The decision to open a downtown café this fall is at risk because the critical assumption that current operations can support two locations is invalidated: hiring takes about six weeks and a recent new hire quit within a month, meaning the business is already short-staffed before adding a second site. A second critical assumption, that downtown foot traffic will translate into comparable sales, is unproven, resting only on raw pedestrian counts with no conversion, competition, or occupancy data. Cannibalization of the existing shop is also already signaled by customer intent data, compounding the operational risk.

## Where each assumption stands

Each assessment includes the evidence behind it.

A1 · Needs review · Critical

**Downtown foot traffic will support sales close to what our current location does.**

The only supporting evidence measures raw pedestrian volume, not paying customers. Downtown office traffic is concentrated in narrow rush windows, collapses on evenings/weekends, and may face denser coffee competition, none of which has been measured.

> "about 40 percent more weekday foot traffic than the street our current café"
> Market update · Jun 15, 2026

A2 · Invalidated · Critical

**The business has adequate staffing, supply chain capacity, and operational systems to manage two locations simultaneously without degrading service quality.**

The business cannot currently staff its one existing location reliably, undermining any claim that it has the systems to run two locations without service degradation.

> "took about six weeks to fill"
> Status update · Jun 18, 2026

> "one of those new hires left within a month"
> Status update · Jun 18, 2026

A3 · Weakened · Supporting

**The new location will not pull a large share of sales away from our existing shop.**

A third of existing regulars say they'll switch to the downtown location, indicating substantial revenue cannibalization rather than purely incremental demand.

> "roughly a third of them work downtown and say they would visit"
> Customer feedback · Jun 21, 2026

A4 · Holding · Supporting

**The build-out will be finished before the three months of free rent run out.**

Contractor confirms a two-week buffer before free rent expires, but self-reported estimates and thin margins leave no room for ordinary permitting or supply delays, and no contingency plan exists.

> "on track to finish about two weeks before the free-rent period ends"
> Status update · Jun 24, 2026

## The case against

The strongest challenge to each assumption, including the ones that still hold.

> Foot-traffic volume is being treated as a revenue proxy with no data on conversion rate, competitive density, or office occupancy volatility in the downtown corridor.

> Existing hiring and turnover bottlenecks suggest the business would need to pull trained staff from its current shop to open a second location, degrading service at the original site.

> One-third of regulars intending to switch downtown means the assumption of minimal cannibalization should be treated as already contradicted, not merely at risk.

> A two-week rent-free buffer offers no real protection against ordinary commercial construction variance, and no fallback plan exists if it's consumed.

## Next actions

**Strengthen** (make the assumption more likely to hold)

Marketing lead to run a 2-week downtown pop-up or partner kiosk test measuring actual transactions per 100 pedestrians, not just foot-traffic counts, before signing the lease.
Protects A1: Downtown foot traffic will support sales close to what our current location does.

Owner to obtain a written contingency schedule from the contractor (permit status, inspection dates, equipment lead times) and negotiate a two-week rent-extension option with the landlord as insurance against delay.
Protects A4: The build-out will be finished before the three months of free rent run out.

**Prepare a fallback** (in case it turns out wrong)

Store manager to finalize and document a staffing plan, hire and fully train at least 2 additional baristas plus a backup shift lead, before committing to an opening date.
Protects A2: The business has adequate staffing, supply chain capacity, and operational systems to manage two locations simultaneously without degrading service quality.

Ops manager to set up unique promo codes or loyalty tracking at both locations to measure real customer migration in the first 60 days, with a pre-set staffing/hours adjustment trigger at the original shop if migration exceeds 20%.
Protects A3: The new location will not pull a large share of sales away from our existing shop.